

① AFM Theory - sources of Finance

I] Principles of Islamic Law (Sharia)

- sharing of profits and losses
- No interest (riba) allowed
- No investment in alcohol, gambling, etc.

II] Islamic financial instruments

Murabahah

- Form of credit sale
- No interest charged
- Fixed price is agreed before delivery (including markup)
- Early payments discounts are not welcomed

Ijara

- Effectively a lease
- Bank (lessor) leases assets such as plant, motor vehicles, etc.
- Bank (lessor) is responsible for maintenance of assets.

Sukuk

- Equivalent to debt
- Islamic finance bonds
- Islamic bonds do not have features of common bonds, instead they are linked to the underlying assets and $\therefore$ profit is linked to the performance of the asset.

Salam

- Similar to forward contracts

Istisna

- Long financing large of

② Advantages and Disadvantages of using Islamic Fin

- Prohibits speculation
- Long term view of success
- Access to muslim funds
- IFIs may be slower to react to market demands & changes.
- Cost of developing new financial products may also be higher.

Mudharaba

- term of construction projects property and machinery

- special kind of partnership
- One partner gives money (100%)
- Other partner manages and work exclusively
- Profits generated are shared in an agreed ratio.

Musharaka

- similar to partnership
- Both partners provide capital and expertise.
- Profits are distributed in an agreed ratio.

(3)

IV] M&M (No tax)

- Linear relationship b/w k_e and gearing (D/E).
- Increase in k_e exactly offsets the benefit of the cheaper debt finance and $\therefore$ WACC remains unchanged.

Assumptions

- No tax
- Perfect capital markets where investors have the same information
- No transaction cost
- Debt is risk free.

V] M&M (with tax)

- The optimal capital structure is 99.9% gearing.

Criticism

- Not considered risk of bankruptcy
- Tax exhaustion - Tax savings on account of interest can happen only if there are profits.
- Restriction could be imposed on fresh borrowings
- Ignores fact that borrowing cost increases as more borrowing is done.

(4)

VI] Pecking order theory

- There is no search for an optimal capital structure.

VII] Static trade off theory

- In short M&M theory, tweaked further to incorporate "bankruptcy risk".

VIII] Signalling to investors

- Raising new finance gives a positive signal to the market: the firm is showing that it is confident that it has identified attractive new projects.

Public equity financing option

Right issue

IPO

FPO

Private placement

IX] Dark pool trading (Upstairs market/Dark liquidity)

- Relates to the trading volume in listed stock created by institutional orders that are unavailable to public

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XI] SME



- Private lending through family, friends and other small business investors.
- Should lease assets rather than purchasing

Larger ~~cos~~ have following additional options:

- Bond issue (low rate of interest)
- Debenture issue (asset backed securities)
- Convertible bond issue
- Mezzanine finance - Risky for lender as such debt is ranked after all the other debt at the time of liquidation (unsecured).
- Syndicated loan - where consortium of banks lends large amounts of debt.

XII] crypto

- Initial coin offering (ICO) = cryptocurrency equivalent to an IPO.
- ICOs deals with supporters rather than investors in case of IPO that are keen to invest in new project.
- ICOs are decentralised.

⑥

Security Token offering (STO) = similar to ICO but with two differences

Regulated by government

Tokens issued are asset backed.

⑦ AFM Theory - Role of Financial Manager

I] Contents of policy framework

Sustainable development Ethics & social Responsibility Stakeholder protection Corporate Governance

II] Key areas of responsibilities for the Financial manager

- Investment selection
- Capital resource allocation
- Raising finance
- Minimising COC
- Communication with stakeholders
- Distributions and retentions (Dividend)
- Efficient and effective use of resources.

III] Efficient market Hypothesis (EMH)

Place where the MP of financial instruments reflect all info that is available

Concept or idea that you test through research and experiments

⑧ The efficient market Hypothesis argues that markets are efficient, leaving no room to make excess profits by investing since everything is already fairly and accurately priced.

IV] Behavioural Finance

Behavioural Finance is a field that merges psychology with economics and finance to understand why individuals make irrational financial decisions. Key concepts include:

① Anchoring - Investors fixate on irrelevant reference points when making decisions e.g. buying shares whose price has fallen considerably as compared to previous high price.

② Gambler's Fallacy - Investors believe past outcomes influence future probabilities, leading to flawed decision making.

③ Herd behaviour - Individuals mimic larger group actions due to social pressure or the belief in the group's collective wisdom, even if it is irrational.

9

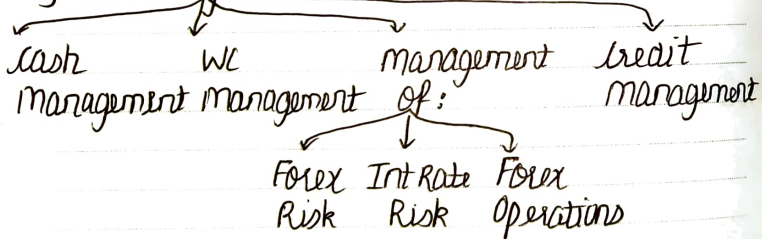
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④ Overreaction and availability bias - Market participants often reacts to new information, causing disproportionate price movements.

⑤ Confirmation bias - Investors seek confirmation confirming their preconceived notions, ignoring contradictory evidence and leading to biased decisions.

⑥ Hindsight bias and overconfidence - People tend to believe past events were predictable, leading to overconfidence in their ability to predict future market movements.

V] Treasury Functions



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10

VI] Performance Appraisal methods

Financial Measures

- EPS
- ROCE
- DPS
- EVA
- MPS
- PERatio
- SVA

Non Financial measures

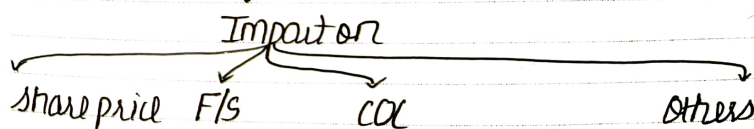
- Balanced Scorecard
- Employee satisfaction

VII] Impacts

① Strategic Impact -

- (i) Fit with environment - Knowledge of Political, Economic, social and Technological factors which affects business.
- (ii) use of resources
- (iii) Stakeholder's reactions.

② Financial Impact -



③ Regulatory Impact

(11)

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The UK City Code

- ↓
- ① Applies on takeovers in UK
 - ↓
 - ② Absolute secrecy before any takeover announcement is made
 - ↓
 - ③ Announcement should be clear as possible.
 - ④ Ethical Impact -
 - (i) Society level - wishes of all stakeholders should be taken into account.
 - (ii) Corporate level - Approach they take to corporate governance and stakeholder conflict.
 - (iii) Individual level - Individuals running the co apply principles to their own actions and behaviours
 - ⑤ Environmental Impact
 - Reducing carbon emissions
 - Triple bottom line reporting.

⑫ AFM Theory - Corporate Failure & ReconstructionI] Five core causes of corporate failure:

Revenue	Cost	Asset	Liability	Capital
Failure	Failure	management	management	management
• Loss of orders	• Weak cost	• Failure	• Failure	• Failure
• Acceptance of non-value adding business	• Technological changes	• Poor WC management	• Weak control of int	• mismanagement of debt portfolios.
	• Inappropriate accounting policies	• Inadequate technology	• Unsustainable investment	• Unsound credit policies

II] some important ratios

- ① Debtors collection period = $\frac{\text{Receivables}}{\text{A. Sales}} \times 365$
- ② Creditors payment period = $\frac{\text{Payables}}{\text{A. Purchases}} \times 365$
- ③ Inventory holding period = $\frac{\text{Inventory}}{\text{COS}} \times 365$
- ④ Interest cover = $\frac{\text{PBIT}}{\text{Int}}$
- ⑤ Dividend cover = $\frac{\text{EPG}}{\text{DPS}}$

III] Practical indicators of Financial distress:

Financial Issues	Operating Issues	Other issues
• Adverse key financial ratios • Arrears or discontinuance of dividends • Inability to pay creditors on due dates • Major restructuring of debt	• Loss of key management/staff w/o replacement • Loss of major market • Labour difficulties • Shortages of imp supplies	• Pending legal or regulatory proceedings • Non compliance with capital or other statutory requirements

IV] Reconstruction of failing companies often involves legal mechanisms like:

Company Voluntary Arrangements (CVAs)	Administration Orders
CVAs facilitates debt write off against SHs and LS capital, maximising returns to LS while addressing CF issues (Just like under IBC)	Allows for a recovery plan, enabling continued trading while restructuring efforts are underway.

V] Business reorganisation methods

① spin-offs or Demergers ② sell-offs ③ management Buyouts (MBO) ④ Liquidation

- Increasing overall value of the co by creating separate entities
- Results in 2 or more cos instead of the original one
- Divesting parts of business for reasons like:
 - Raising cash by a group of existing executive managers
 - Shedding non core areas
 - Safeguarding against takeovers by disposing of desirable assets
- Purchase of all or parts of a business from its owners by a group of existing executive managers
- Reasons similar as in case of sell-offs.

Other types

- ① Leveraged buy out - where purchase price is financed by investors to the managers.
- ② Employee buy out - All employees are offered stake in the new business.
- ③ Spin out - similar to buy out but parent co maintains a stake in the business
- ④ Management buy in - move of managers outside the business

(15)

Date: / /

V] Colourful Jargon terms of MBO:

① BIMBO

Deal involving buy-in by outside managers and buy-out by current managers.
50% of recent deals taking this form.

② Trunk Bonds

Tradeable high-yielding unsecured debt certificates issued by companies in US leveraged buy-outs.

③ Lemons

Deals that goes wrong

④ Plums

Successful deals

⑤ Living dead

Companies earning just enough cash to pay interest on borrowings.

⑥ Ratchet arrangement

Allows managers a large share of equity if the venture performs well.

⑩ ACCA Technical Article - Reverse Takeovers

example

<u>Company</u>	<u>Notch</u>	<u>Net Assets (NA)</u>
Balaji Telefilms	small quoted	1,000
Disney	large unquoted	2,00,000

- Balaji wants to buy Disney - PC can be settled by way of cash or shares - Balaji is unlikely to have enough cash balance to buy Disney, so it will end up paying PC by way of shares.

- Since NA of Disney are 200 times the net assets of Balaji, Balaji will have to issue a large no. of shares to SH holders of Disney. Say existing shares were 5000 and Balaji issues 40,000 shares.

Shareholding

$$\text{Balaji} = (5000/40000) = 11\%$$

$$\text{Disney} = (40000/45000) = 89\% \text{ 100\%}$$

This is known as reverse takeover, where Disney's shareholders becomes majority stakeholder.

Features

- ① Senior management of unquoted co effectively manages the new co.
- ② New co get the name of the unquoted co
- ③ Post RTO the old unquoted co effectively gets listed on the stock exchange w/o listing formalities
- ④ Deemed to be poor man's IPO.

Benefits

- ① Easier access to capital markets
listed co able to raise finance at a rate lower than unquoted co.
- ② Higher co valuation
Potential investors will deem the shares to be less risky.
- ③ Enhanced ability to carry out further takeover
- ④ speed
IPO = 2 to 3 yrs
RTO = 30 days

Drawbacks

- ① Lack of expertise
- ② Reputation
- ③ Risk
since lower level of scrutiny applied.
- ④ Regulation
- ⑤ share price decrease
- ⑥ costs
Direct and Indirect costs are much higher.

Cost

IPO = Expensive

Availability

Not easy to convince an investor for an IPO

Existing analyst coverage

listed co subject to RTO is likely to have existing analyst coverage.

ACCA Technical Article -

Sensitisation and Tranching

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① In case of conventional mortgages

- clay bank has "mortgage book" list of borrowers of ₹1000.
- It will sell the same to SPV at ₹920.
- Thereafter, Bank will get ₹920 for further lending.
- This payment would be made by SPV by issuing bonds backed by income stream in the open market.

② In case of sub-prime mortgages

- First 3 points are same
- SPV will issue "collateralised debt obligations CDOs" in the open market of smaller denomination. These are derivative style instruments.

③ Ringfenced SPV

- First 3 points are same
- SPV repays money by renting commercial properties where rental income is a low risk cash flow

②0 II structure of CDOs

Tranche 1

- Equity tranche (Highest risk)
- Comprises of 10% of value of the mortgages
- 1st in the waterfall to absorb risk and last in enjoying returns

Tranche 2

- Mezzanine Finance (intermediate risk)

Tranche 3

- AAA (senior tranche)
- Balance value

• and " " " 3rd " " "

• and last " " 1st " " "

(a1) ACCA Technical Article - Business Valuations

- * Bootstrapping - Applying the P/E ratio of buyer to the combined expected earnings of the two entities.

solve @ mentioned in this Article.

(a2) ACCA Technical Article - Alternative methods of listing

① Dutch Option

- Price discovery process which is used to minimise ~~the~~ the potential for mispricing in an IPO.
- Once the co has decided the no. of shares it wishes to sell, interested investors will submit bid stating qty and price.

Advantages

- Fair chances of premium being paid
- Spread b/w offer price and actual mp on the first day of trading would be less
- Lower transaction fees as reduces the involvement of underwriters
- Dutch options allows retail investors to compete with institutional investors

Disadvantages

- Retail investors will not conduct due diligence on issuing co.
- Listing would be unsuccessful if demand is weaker than anticipated.

(23)

- ② Special Purpose Acquisition Company (SPACs)
- Private Co to become publicly traded by merging with an already listed SPAC. A SPAC starts off as a private shell Co which undergoes an IPO to get listed.

Advantages

- ① Less time for listing
IPO = 2 to 3 years
SPAC = 3 to 6 months

- ② No listing fee
③ No underwriting costs
④ Negotiation before listing is possible.

- ③ Direct listing
- Private Co's shares are admitted to trading on a public market, allowing its shareholders to sell their shares directly to the public.

Advantages

- No underwriting charges
- Low risk of mispricing

Disadvantages

- No guarantee of shares being sold

(24) AFM Theory - Risk management

1] Different types of risks with examples

① Strategic Risk

Those affecting the overall direction or outcome of the project, such as changes in the macroeconomic factors or changes in corporate policies.

Examples

- Brand awareness in the new sector
- Risk of recession
- Political changes

② Tactical Risk

Affects the way the various parts of the project are interlinked, the way resources are acquired or the way in which the business functions involved in the project are run.

Examples

- Supply chain changes
- Major payment timings
- Intended sales of machinery

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③ Operational risks

Affecting the day to day running of the projects

Examples

- Production breakdown
- Breakdown of supply chain
- Failure of distribution of network
- Failure to recruit staff with necessary skill sets.

II] Risk assessment and monitoring method

- ① Internal audit
- ② Information systems
 - EIS
 - MIS

III] 4T approach of risk management

- Tolerate it
- Transfer it
- Terminate it
- Treat it (by mitigating, hedging & diversifying)

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IV] Political risk

Risk that the company will suffer a loss as a result of the actions taken by the government or people of a country.

management of political risk

- ① Planned local ownership - Target dates can be set on which proportion of company's ownership will pass to the local nations.
- ② Pre-trading/concession agreements - Agreements with local government can mitigate risk.
- ③ Political risk insurance
- ④ Production strategies
- ⑤ Control of patents and processes.
- ⑥ Distribution control
- ⑦ Market control
- ⑧ Location - operating in unstable areas

(27)

v] Monte Carlo simulation and VAR (Ref from excel sheet).

Date: / /

(28) Other theory areas

I] Role of WTO

- WTO was established to implement the General agreement on Tariffs and Trades

- Main aim: To reduce barriers to international trade

- Protectionist measures - Tariffs, quotas and other import restrictions.

- Forum for negotiation and dispute resolution with countries.

- Promotes free trade by applying MFN principles b/w its members.

Date: / /

(29) AFM Theory - Interest rate risk management

I] Smoothing

In this simple approach to interest rate risk management the loans and deposits are simply divided so that some are fixed rate and some are variable rate.

II] Forward Rate Agreements (FRA)

Terminology "5-8 FRA" - 3 months loan/deposit starting in 5 months. Can also be denoted as "5v8 FRA".

Hedging

Borrowing = Buy FRA

Deposit = sell FRA

Settlement of interest differential in case of FRA happens at the start of the loan/deposit.

∴ Amount received/paid on day 1 is to be adjusted by PV of interest differential.

III] Interest rate guarantees (IRG) (Options on FRAs)

Borrowing = Buy FRA = Call option

Deposit = sell FRA = Put option.

Adverse movement
↓

Exercise the option

Favourable movement
↓

Allow the option to lapse

- IRGs are more expensive than the FRAs as one has to pay for the flexibility to be able to take advantage of a favourable movement.

IV] When to hedge using FRAs or IRGs

① If treasurer believes that interest rate will rise - Hedge using FRAs since cheaper

② If treasurer is unsure which way the interest rate will move - Hedge using IRGs.

V] Interest rate Futures

Types

- Short-term interest rate futures (STIRs)
standardised exchange-traded forward contracts (usually a 3 month deposit).

- Bond Futures

contracts on a standard quantity of

national government bonds.

Hedging

Borrowing money = sell bonds = sell Futures

Depositing money = Buy bonds = Buy Futures

$$\text{No. of contracts} = \frac{\text{Loan/deposit}}{\text{contract size}} \times \frac{\text{loan/deposit period}}{\text{contract duration}}$$

Steps

Step 1: Identify whether we are borrower or lender

Step 2: Borrower = sell Futures
Lender = Buy Futures

Step 3: No. of contracts (Above formula)

Step 4: Gain/loss on closeout of Futures position

Borrower

Lender

Today: sell Futures at
Futures price quoted today

Today: Buy " " "

Due date: Buy Futures @ spot rate
Due date: sell " "

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Amount of gain/loss

$$= \text{No. of contracts} \times \% \text{ gain/loss} \times \text{contract size} \times \frac{\text{maturity period}}{12m.}$$

Step 5: calculation of amount of borrowing/lending on maturity

$$\text{Borrowing/lending amount} \times \text{spot rate of interest on due date} \times \frac{\text{maturity period}}{12m.}$$

Step 6: Total Inflow/Outflow

eg on gain/loss

sell Futures @ 7% (Borrowing)
Buy Futures @ 5% (Deposit).
loss (2%).

Terminologies

ESTER - Euro short term rate

SONIA - Sterling Overnight Index Average.

Basis = spot price - Futures price.

Lock in rate = $100 - (\text{Current Future price} + \text{unexpired basis on transaction date})$.

VI] Options on Interest rate Futures

Call option = Right to buy Futures contract

Put option = Right to sell Futures contract.

∴ Borrowing = sell Bonds = sell Futures = Put option

∴ Deposit = Buy Bonds = Buy Futures = Call option

∴ Premium mentioned in Q is p.a.

VII] Caps, Collars and Floors

Cap

Floating Rate (SONIA + 1%)

↓
Fear of Int rate ↑ (Borrower)

↓
To get protected "buy a cap"

(similar to Put option)

Floors

"

"

"

"

"

↓ (Lender)

↓
To get protected "buy a floor"

(similar to call option)

Collars

Buy a cap and sell a floor.

Buy a put and sell a call.